

The Coca-Cola Company

NYSE: KO | Consumer Staples — Beverages | 30 June 2026

ACCUMULATE **Target Price: \$87** | CMP: \$81.3 (30-Jun-2026) | Upside: +7%

Investment Summary

Coca-Cola remains the archetypal quality defensive: an asset-light, brand-and-distribution machine that converts pricing power into steady mid-single-digit organic growth and expanding margins. FY2025 delivered net revenue of \$47.9 billion (+2% reported, +5% organic), net income of \$13.1 billion and EPS of \$3.04 (+23%), with operating margin widening to 28.7%. The dividend — a 60-plus-year growth streak — yields ~2.5%.

This is not a growth story; it is a compounding-and-income story. The question is valuation: at ~26x trailing earnings KO trades at a clear premium to PepsiCo (~17.5x forward, ~4.2% yield) and in line with Mondelez (~30x), reflecting its superior returns and resilience.

We initiate at ACCUMULATE with a \$87 target (~7% upside). Fairly valued today for its quality; a name to build on weakness rather than chase, with the dividend paying you to wait.

Snapshot

Metric	Value	Note
Market cap	~\$350 billion	Dividend aristocrat, 60+ yrs of hikes
FY2025 revenue	\$47.9bn (+2%; organic +5%)	Price/mix-led
FY2025 EPS / margin	\$3.04 (+23%) / 28.7% op	Comparable op margin ~31%
Valuation / yield	~26x P/E / ~2.5% yield	vs PEP 17.5x / 4.2%, MDLZ 30x
Dividend	\$2.12/share, growing	Payout well covered

FY2025 Results Review

Net revenues grew 2% to \$47.9bn, with organic revenue up 5% on 4% price/mix and 1% concentrate volume — a familiar Coca-Cola pattern of pricing doing the heavy lifting. Reported operating margin expanded sharply to 28.7% (comparable ~31%), and EPS rose 23% to \$3.04. Cash generation remains robust and funds the ever-rising dividend. Currency remains the main reported-growth headwind for a company that earns most of its profit abroad.

Valuation

We value KO on forward earnings against staples peers. At ~26x trailing / ~25x forward it is priced as the premium name in the group — a deserved premium over PepsiCo given higher margins, cleaner focus and steadier volumes, and roughly level with Mondelez. Applying ~26x to an estimated FY2026 EPS near \$3.35 gives a fair value of about \$87.

A DCF cross-check on KO's stable ~\$10-11bn free cash flow and mid-single-digit growth lands in a similar range. The upside is modest, but the return profile — low volatility, growing income, defensive ballast — is the point. Illustrative outputs; see the model.

Key Risks

- Currency translation — the majority of profit is earned outside the US.
- GLP-1 weight-loss drugs as a potential long-run headwind to sugary-beverage volumes.

- Volume softness in developed markets; reliance on price/mix.
- Regulation and taxes on sugar-sweetened beverages.
- Premium multiple leaves limited margin for a growth or margin stumble.

Company Overview

The Coca-Cola Company is the world's largest non-alcoholic beverage company, owning a portfolio of 200+ brands spanning sparkling soft drinks, water, sports and energy drinks, juice, coffee and tea. Its asset-light model — concentrate sales plus a global bottling network — produces high margins, strong returns on capital and one of the most reliable dividend-growth records in the market.

Disclaimer

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